

5-2a Chart of Accounts for Retail Business

NetSolutions’ merchandise transactions are recorded in accounts using the rules of debit and credit that were described and illustrated in Chapter 2. However, since merchandise transactions differ from those of a service business, NetSolutions adopted a new chart of accounts shown in Exhibit 2.

Exhibit 2

Chart of Accounts for NetSolutions as a Retail Business

Balance Sheet Accounts	Income Statement Accounts
100 Assets	400 Revenues
110 Cash	410 Sales
112 Accounts Receivable	500 Costs and Expenses
115 Inventory	510 Cost of Goods Sold
116 Estimated Returns Inventory	520 Sales Salaries Expense
117 Office Supplies	521 Advertising Expense
118 Prepaid Insurance	522 Depreciation Expense—Store Equipment
120 Land	523 Delivery Expense
123 Store Equipment	529 Miscellaneous Selling Expense
124 Accumulated Depreciation—Store Equipment	530 Office Salaries Expense
125 Office Equipment	531 Rent Expense
126 Accumulated Depreciation—Office Equipment	532 Depreciation Expense—Office Equipment
200 Liabilities	533 Insurance Expense
210 Accounts Payable	534 Office Supplies Expense
211 Salaries Payable	539 Misc. Administrative Expense
212 Unearned Rent	600 Other Revenue

213 Customer Refunds Payable	610 Rent Revenue
214 Estimated Coupons Payable	700 Other Expense
215 Notes Payable	710 Interest Expense
300 Stockholders' Equity	
310 Common Stock	
311 Retained Earnings	
312 Dividends	

The accounts related to merchandising transactions are highlighted in blue in [Exhibit 2](#). The nature of these accounts will be described and illustrated as the related merchandising transactions are discussed.

As shown in [Exhibit 2](#), NetSolutions' chart of accounts now consists of three-digit account numbers. The first digit indicates the major financial statement classification (1 for assets, 2 for liabilities, etc.). The second digit indicates the subclassification (e.g., 11 for current assets and 12 for noncurrent assets). The third digit identifies the specific account (e.g., 110 for Cash and 123 for Store Equipment).